IN THE NATIONAL COMPANY LAW TRIBUNAL,
PRINCIPAL BENCH, DELHI

(CAA)- 183(PB)/2017

Under Section 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

In the matter of
Scheme of Amalgamation:
of

KPS Infraproject Limited

Applicant/Transferor Company no.1

AND

KPS Buildhome Limited

Applicant/Transferor Company no.2

AND

Neon Buildtech Pvt. Limited

Applicant/Transferor Company no.3

AND

Vindhya Merchants Pvt. Limited

Applicant/Transferor Company no.4

AND

Anjuman Infratech Pvt. Limited

Applicant/Transferor Company no.5

AND

Shivangi Proptech Private Limited

Applicant/Transferor Company no.6

WITH

Fortune Proptech Private Limited

Applicant/ Transferee Company

Order delivered on: 04.12. 2020

CORAM

SH. B. S. V. PRAKASH KUMAR,
HON'BLE ACTG. PRESIDENT
SH. N. K. BHOLA,
HON'BLE MEMBER (TECHNICAL)

For Petitioner(s): Mr. Ashish Middha and Mr. Purav Middha (Advocates)
For Regional Director: Ms. Tania Sharma
For Income Tax : Ms. Lakshmi Gurung

(CAA)- 183(PB)/ 2017

ORDER

Per: B. S. V. PRAKASH KUMAR, ACTG. PRESIDENT

1. Under consideration is the CA (CAA)/183/PB/2019 filed under Sections 230 to 232 of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016. The present petition has been filed by the Petitioner Companies named above for the purpose of the approval of the Scheme of Amalgamation, as contemplated between the Companies and its Shareholders by way of Amalgamation of Transferor Companies with the Transferee Company. As per the Scheme of Amalgamation (in short, 'Scheme'), KPS Infraproject Limited i.e. Applicant/ Transferor Company no.1, KPS Buildhome Limited i.e. Applicant/ Transferor Company no.2, Neon Buildtech Pvt. Limited i.e. Applicant/ Transferor Company no.3, Vindhya Merchants Pvt. Limited i.e. Applicant/ Transferor Company no.4, Anjuman Infratech Pvt. Limited i.e. Applicant/ Transferor Company no.5, Shivangi Proptech Private Limited i.e. Applicant/ Transferor Company no.6 WITH Fortune Proptech Private Limited i.e. Applicant/ Transferee Company as a going concern.

2. That the Transferor Company no. 1 i.e. KPS Infraproject Limited (Transferor Company no.1) is a Public Limited Company incorporated under the Companies Act, 1956 having its registered office at 2481/9, Second Floor, Gurudwara Road, Karol Bagh, New Delhi. The Transferor Company no.1 was incorporated on 16th day of

January'1995 as a Public Limited Company with the name of Brokerage International Limited with the Registrar of Companies, Delhi & Haryana and was granted Certificate for Commencement of Business on 30th day of January'1995 by the Registrar of Companies, Delhi & Haryana and was allotted CIN U74899DL1995PLC064375. The name of the company was changed to KPS Infraproject Limited vide orders dated 21st day of July'2008 and fresh certificate on incorporation issued. The email address of the company is sanjaykumar.agarwal.d15@gmail.com and PAN is AAACB3205H.

3. That the Transferor Company no. 2 i.e. KPS Buildhome Limited (Transferor Company no.2) is a Public Limited Company incorporated under the Companies Act, 1956 having its registered office at 2481/9, Gurudwara Road, Karol Bagh, New Delhi. The Transferor Company no.2 was incorporated on 22nd day of February'2008 as a Public Limited Company with the name of KPS Buildhome Limited with the Registrar of Companies, Delhi & Haryana and was granted Certificate for Commencement of Business on 7th day of March'2008 by the Registrar of Companies, Delhi & Haryana and was allotted CIN U45200DL2008PLC174417. The email address of the company is kantiprasad.agarwal.d15@gmail.com and PAN is AADCK2936R.

4. That the Transferor Company no. 3 – Neon Buildtech Private Limited (Transferor Company no.3) is a Private Company incorporated under the Companies Act, 1956 having its registered office at 103, Roots Tower, Laxmi Nagar, New Delhi. The Transferor Company no.3 was incorporated on 26th day of August'2006 as a

Private Limited Company with the name of Neon Buildtech Private Limited with the Registrar of Companies, Delhi & Haryana with CIN U70109DL2006PTC152513. The email address of the company is sanjaykumar.agarwal.d15@gmail.com and PAN is AACCN4001B.

5. That the Transferor Company no. 4 – Vindhya Merchants Pvt. Limited (Transferor Company no.4) is a Private Company incorporated under the Companies Act, 1956 having its Registered office at 2481/9, Second Floor, Gurudwara Road, Karol Bagh, New Delhi. The Transferor Company no.4 was incorporated on 1st day of March'1996 as a Private Limited Company with the Registrar of Companies, West Bengal. The registered office was changed to the NCT of Delhi vide orders dated 18th day of December, 2015 and fresh certificate issued on 28th day of January, 2016 The CIN of the company is U51109DL1996PTC290258. The email address of the company is akshatagarwal.d59@gmail.com and PAN is AABCV0234F.

6. That the Transferor Company no. 5 – Anjuman Infratech Pvt. Limited (Transferor Company no.5) is a Private Company incorporated under the Companies Act, 1956 having its Registered office at C-1/203, Lajpat Nagar-II, New Delhi. The Transferor Company no.5 was incorporated on 1st day of February'2008 as a Private Limited Company with the Registrar of Companies, Delhi & Haryana with CIN U45200DL2008PTC173493. The email address of the company is akshatagarwal.d59@gmail.com and PAN is AAGCA7961D.

7. That the Transferor Company no. 6 – Shivangi Proptech Pvt. Limited (Transferor Company no.6) is a Private Company incorporated under the Companies Act, 1956 having its Registered office at 208, M.J. Shopping Center, 3-Veer Savarkar Block, Shakarpur, Delhi. The Transferor Company no.6 was incorporated on 20th day of January'2006 as a Private Limited Company with the Registrar of Companies, Delhi & Haryana with CIN U45201DL2006PTC145187 with a name Gulmohar Buildwell Pvt. Limited. The name of the company was changed to Shivangi Proptech Pvt. Limited vide orders dated 11th day of April'2012 and fresh Certificate of Incorporation issued consequent to change of name. The email address of the company is akshatagarwal.d59@gmail.com and PAN is AACCG5164A.

8. That the Transferee Company– Fortune Proptech Pvt. Limited (Transferee Company) was incorporated on 1st day of February'2008 as a private limited company with the name Fortune Proptech Pvt. Limited with the Registrar of Companies, N.C.T. of Delhi & Haryana with CIN U45200DL2008PTC173488. The company is having its Registered office at C-1/203, Lajpat Nagar-II, New Delhi. The email address of the company is sanjaykumar.agarwal.d15@gmail.com and PAN is AABCF1797R.

9. The Board of Directors of the Transferor Companies and the Transferee Company has approved the present Scheme vide its Resolution dated 15th day of December'2016.

10. The rational for the proposed scheme as stated in the scheme is that the Transferor companies and the Transferee Company belong

to the same group. There are synergies in the business operations of the Transferor Companies and the Transferee Company. In order to provide better operational and financial efficiency in the businesses of Transferor Companies and the Transferee Company, it is intended to merge Transferor Companies into the Transferee Company.

11. The Counsel appearing for the Petitioner Companies has submitted that as per clause 4 of the present Scheme states that upon Scheme becoming effective, all the assets and also the liabilities of the Transferor Companies shall be incorporated in the books of the Transferee Company on the basis of the values recorded in the books of accounts of the Transferor Companies as on the appointed date. The debit balance in the books of the Transferor Companies towards miscellaneous expenditure to the extent not written off as shown in the books of the Transferor Companies on that date shall be set of against the amalgamation reserve account of the Transferee Company. It is further submitted by the Counsel for the Petitioners that no winding up petitions are initiated/pending against the Transferor Companies and there are no other investigations pending or proceedings initiated under the Companies Act, 2013/1956.

12. Further, the Regional Director, MCA (RD) in its affidavit dated 27.10.2017 has stated that the Transferor Companies are regular in filing the statutory returns. It has further submitted that no complaints / inspection / investigation or Prosecution are pending against the Transferor and Transferee Companies. Further Regional Director has observed compliance to sections 232(3) (i) of the

Companies Act, 2013 with regard to fee payable on its revised authorized share capital.

13. In response to the aforesaid observations of the Regional Director, the petitioner companies have undertaken to comply with sections 232 (3)(i) of the Companies Act, 2013.

14. The Official Liquidator in his Report dated 04.12.2017, based on the information submitted by the Petitioner Companies, submitted that no Complaint against the proposed Scheme is received from any person/ party interested in the Scheme in any manner till the date of filing of the Report.

15. The arguments were heard on 10.04.2019 and during the course of dictation of the orders, the Tribunal Observed that there were six companies whose shares were transferred but the names of companies were struck off from the Register of Members by the Registrar of Companies. The clarifications were sought by the Regional Director in this regard.

16. The Regional Director had filed its report dated 18.09.2019 and 29.11.2019 and in its reports, it had stated they had sought the clarification from the petitioner companies as regards the transfer of the shares of Strike Off Companies and the petitioner companies had stated that they are not required to file the Share Transfer Form with the ROC. It was also observed that in the Annual Return for the year 2015 all the strike off companies were shown as shareholders but in the Annual Return for the year 2016, no such company was shown as shareholder. In report the RD had further stated in para 6 of its report dated 18.09.2019 that the transfer deeds in respect of Shares

of the Strike Off Companies were executed before Strike Off of respective companies but the same were transferred on 26.03.2016.

17. In response to the report of the Regional Director, the petitioner companies have stated that under the previous Companies Act transfer were on Transfer Deeds but presently they are on Form – SH 4. However, there were restrictions/limitation of lodgment of shares with the company under the old Act but the present Companies Act in the proviso to section 56 sub-section (1) does contain the time limit but the Act gives the discretion to register transfer of shares to the board of directors after the time limit. The Act does not provide any limitation to lodging transfer deeds but the only condition is to satisfy the company and the company may or may not ask for any Indemnity Bond.

18. That in the present case the transfer deeds under the act were presented before the prescribed authority between the period from 22.09.2009 to 27.06.2011. The transfer deeds were executed between 2009 to 2012 before the companies were Strike Off and were lodged with the company sometimes in 26th March'2016 as under.

Name of the Company	**Date of strike off**	**Date Of Transfer Deed**	**Date of Executions of transfer Deed**	**Date of Presentation of Share Transfer request**	**Date of Registration of Share Transfer with Company**
Axis Metal & Alloys Private Limited	05.05.2011	10/03/2010	31.03.2010	21.03.2016	26.03.2016

Estilo Marketing Private Limited	07.03.2011	2/08/2010	05.08.2010	21.03.2016	26.03.2016
Jumbo Marketing Private Limited	25.03.2011	22/09/2009	30.09.2009	21.03.2016	26.03.2016
Kesri Industrial Lab Private Limited	16.01.2017	27/06/2011	30.05.2012	21.03.2016	26.03.2016
Lancer Construction Private Limited	16.01.2017	27/06/2011	25.05.2012	21.03.2016	26.03.2016
N & N Financial Consultants Private Limited	FTE filed Vide SRN 606184501 on 28.06.2016. The said Form was marked as Invalid.	27/06/2011	20.04.2012	21.03.2016	26.03.2016

19. In the light of the reports of the Regional Director and the clarification submitted by the petitioner companies it is seen that the shares of the transferor company no.1 were transferred by the companies before the date of their striking off. There is no objection

filed from any quarter in respect of said transfer of shares. In fact there is nothing on record to show that the said transfer of shares has been invalidated or challenged before any other competent authority. Therefore, it is seen that there is no statutory violation committed.

20. In the case of Hindustan Lever Employees Union Vs. Hindustan Lever Limited reported in (1995) 5 SCC 491, the three Judges Bench of Hon'ble Supreme Court has held that:

"A company court does not exercise appellate jurisdiction over a scheme and its jurisdiction is limited to ascertaining fairness, justness and reasonableness of the Scheme and to ensure that neither any law has been violated or public interest compromised in the process."

21. It is pertinent to mention here that the right to apply for the sanction of the Scheme has been statutorily provided under Section 230-234 of the Companies Act, 2013 and therefore, it is open to the applicant companies to avail the benefits extended by statutory provisions and the Rules. Therefore, the observation raised by the Regional Director stands satisfied.

22. The Income Tax Department have filed their reports and have stated that there are certain income tax dues which are pending against the petitioner companies.

23. In response to the observation of the Income Tax Department, the transferee company had filed an undertaking that it shall pay all the income tax dues which are due against the transferor companies.

24. Clause 12.10 of the Scheme provides that the merger of the Transferor Companies with Transferee Company shall be accounted as per "The Pooling of interests Method" as prescribed under Indian Accounting Standard 103- Business Combinations' notified under section 133 of the Act read with the Companies (Indian Accounting Standards) Rules, 2015 and any amendments thereto and other applicable accounting standards prescribed under the Act..

23. The Transferee Company has undertook that the Transferee Company will pay the Fees, if any required to be paid to the Registrar of Companies after merger of the authorized Share capital of all Transferor Companies with the Authorized Share Capital of Transferee Company, if the Fees paid by all Transferor Companies is insufficient & this undertaking has already be given by Transferor Companies & Transferee Company of the Scheme of amalgamation

and the proposed Scheme is not in contravention of Section 232 (3) (i) of the Companies Act 2013 and the Section clearly provides that "*where the transferor company is dissolved, the fee, if any, paid by the transferor company on its authorised capital shall be set-off against any fees payable by the transferee company on its authorised capital subsequent to the amalgamation*".

24. It has also been affirmed in the petition that the Scheme is in the interest of both the transferor companies and also the transferee company including their shareholders, creditors, employees and all concerned.

25. The petitioner companies have also filed affidavit on 24.07.2019 confirming that no objection has been received against the Scheme from any party or from any person interested in the Scheme in any manner.

26. In view of the foregoing, upon considering the approval accorded by the members and creditors of the Petitioner companies to the proposed Scheme, and the report filed by the Regional Director, Northern Region, Ministry of Corporate Affairs, report filed by the official liquidator and the report filed by Income Tax Department and also as no objection from any quarter against the Scheme has been

received; there appears to be no impediment in sanctioning the present Scheme.

27. Consequently, sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013.

28. The Petitioners shall however remain bound to comply with the statutory requirements in accordance with law.

29. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

30. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

31. **THIS TRIBUNAL DO FURTHER ORDER**

1. *That all the Transferor Companies shall stand dissolved without following the process of winding-up; and*

2. *That all the property, rights and powers of all the Transferor Companies, be transferred without further act or deed, to the transferee company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013, be transferred to and vest in the transferee company.*

3. *That all the liabilities and duties all the Transferor Companies, be transferred without further act or deed, to the transferee company and accordingly the same shall, pursuant to Section 232 of the Act, be transferred to and become the liabilities and duties of the transferee company; and*

4. *That all proceedings now pending by or against all the Transferor Companies, be continued by or against the transferee company; and*

5. *That all the employees of all the Transferor Companies in service, on the date immediately preceding the date on which the scheme takes effect, i.e. the effective date shall become the employees of the transferee company on such*

date without any break or interruption in service and upon terms and condition not less favorable than those subsisting in the transferor company on the said date.

6. *That Petitioner companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered the Transferor Company shall be dissolved and the Registrar of Companies shall place all documents relating to the transferor company registered with him on the file kept by him in relation to the transferee company and the files relating to both the petitioner companies shall be consolidated accordingly; and*

7. *That every company herein, in compliance with Section 232(7) of Companies Act, 2013, shall until the scheme is fully implemented, file with the Registrar of Companies, the statement in Form No. CAA.8 along with such fee as specified in the Companies (Registration Offices and Fees) Rules, 2014 within two hundred ten days from the end of each financial year.*

8. *That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.*

The petition stands disposed of in the above terms.

Let copy of the order be served to the parties.

Sd/-

(B. S. V. PRAKASH KUMAR)
ACTG. PRESIDENT

Sd/-

(NARENDER KUMAR BHOLA)

MEMBER (TECHNICAL)

04.12.2020

(CAA)- 183(PB)/ 2017